Even though barley has intrinsic value, it was not easy to convince people to use it as *money* rather than as just another commodity. In order to understand why, just think what would happen if you took a sack full of barley to your local shopping centre, and tried to buy a shirt or a pizza. The vendors would probably call security. Still, it was somewhat easier to build trust in barley as the first type of money, because barley has an inherent biological value. Humans can eat it. On the other hand, it was difficult to store and transport barley. The real breakthrough in monetary history occurred when people gained trust in money that lacked inherent value, but was easier to store and transport. Such money appeared in ancient Mesopotamia in the middle of the third millennium BC. This was the silver shekel.

The silver shekel was not a coin, but rather 0.3 ounces of silver. When Hammurabi's Code declared that a superior man who killed a slave woman must pay her owner twenty silver shekels, it meant that he had to pay 6 ounces of silver, not twenty coins. Most monetary terms in the Old Testament are given in terms of silver rather than coins. Joseph's brothers sold him to the Ishmaelites for twenty silver shekels, or rather 6 ounces of silver (the same price as a slave woman – he was a youth, after all).

Unlike the barley sila, the silver shekel had no inherent value. You cannot eat, drink or clothe yourself in silver, and it's too soft for making useful tools – ploughshares or swords of silver would crumple almost as fast as ones made out of aluminium foil. When they are used for anything, silver and gold are made into jewellery, crowns and other status symbols – luxury goods that members of a particular culture identify with high social status. Their value is purely cultural.

Set weights of precious metals eventually gave birth to coins. The first coins in history were struck around 640 BC by King Alyattes of Lydia, in western Anatolia. These coins had a standardised weight of gold or silver, and were imprinted with an identification mark. The mark testified to two things. First, it indicated how much precious metal the coin contained. Second, it identified the authority that issued the coin and that guaranteed its contents. Almost all coins in use today are descendants of the Lydian coins.

Coins had two important advantages over unmarked metal ingots. First, the latter had to be weighed for every transaction. Second, weighing the